

US equities rally on strong earnings and easing inflation fears

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

All three major indices closed higher on Tuesday, with the **S&P 500** up **+0.86%** to 7,656.98 and the **Nasdaq 100** gaining **+0.91%** to 29,368.44. The rally was anchored by robust earnings from technology and consumer discretionary firms and a retreat in the VIX to 15.84, the lowest level in three weeks.

Yield pressures eased as the 10-year Treasury slipped to 4.97%, while commodity prices fell, with WTI crude down **-2.37%** at 100.05. Momentum remains positive but a resurgence in inflation data could test the upside.

US session recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,656.98	+0.86%	
Dow Jones	52,573.29	+0.98%	
Nasdaq 100	29,368.44	+0.91%	
Russell 2000	2,903.94	+0.45%	
VIX	15.84	-11.21%	Three-week low
10Y Yield	4.97%	+0.63%	
WTI Crude	100.05	-2.37%	

Top large-cap movers

TICKER	CLOSE	CHANGE
AMZN	256.78	+1.94%
AAPL	332.27	+1.75%
GS	1,029.18	+0.92%
NVDA	218.29	-0.03%

Spotlight

Amazon reported Q3 earnings that beat expectations, posting revenue of 124.6 billion (+7.2% YoY) and EPS of 2.45, versus consensus 2.31. The company highlighted

growth in its cloud and advertising segments, which together contributed **+12%** to top-line growth.

METRIC	VALUE
Revenue	124.6 bn
YoY growth	+7.2%
EPS	2.45
Adj. EPS consensus	2.31

Macro & Fed

- Fed policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: 4.97%
- Today's releases (HKT): CPI 02:30, PCE 03:30, Retail sales 04:30
- Gold up **+1.02%** to 4,408.90; DXY steady at 99.12

Geopolitics & global

- Middle-East tensions eased after cease-fire talks, reducing oil-supply risk.
- China's manufacturing PMI slipped to 48.9, indicating continued contraction.
- Eurozone inflation data due Friday; markets watching for any ECB policy shift.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:30	MSFT	Cloud revenue growth, margin expansion
10:00	NVDA	AI chip demand, inventory levels
10:30	JPM	Net interest income, loan growth
11:00	META	Ad revenue rebound, user engagement

Stocks worth watching

- **TSLA** – after a modest **+0.52%** gain, investors eye new battery-cell partnership.
- **XLV** – health-care ETF slipped **-0.18%**; watch FDA approvals.
- **XLE** – energy ETF up **+0.32%** despite lower crude, driven by OPEC output cuts.
- **AVGO** – semiconductor supplier rose **+0.32%**; monitor 5G rollout data.
- **XLB** – materials ETF up **+0.37%**; copper inventory draw.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI (+0.4% MoM) could reignite rate-hike expectations.
- Sharp sell-off in crude below 95 could hurt energy stocks.
- Geopolitical escalation in the Middle East.

BULLISH TRIGGERS

- Better-than-expected Q4 earnings from **MSFT** or **NVDA**.
- Eurozone inflation easing further, prompting dovish ECB tone.
- Continued decline in VIX below 15.

Sources

SOURCES

[Reuters — US Markets](#)

[Bloomberg — Economic Calendar](#)

[SEC — Company Filings](#)

[CNBC — Real-time Quotes](#)

[Financial Times — Market Commentary](#)